

Economy Topic 10 — ASCII Master Flowchart

Current-source cutoff: 9 September 2026

1/12 TAX PRINCIPLES

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+-----+	
-> Tax base + rate -> liability	
-> Statutory incidence != economic incidence	
-> Equity efficiency certainty simplicity	
-> Buoyancy includes policy change; elasticity excludes it	
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2/12 CONSTITUTIONAL POWER

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-> Art 246: Seventh Schedule
-> Art 246A: special GST power
-> Art 248: residuary power subject to 246A
-> Inter-State GST: Parliament exclusive

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3/12 GST LEGAL LADDER

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-> Council recommends	
-> Legislature enacts	
-> Executive notifies within authority	
-> Effective date controls liability	
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4/12 GST SUPPLY MAP

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	-> Supply -> place -> time -> value -> rate			
	-> Intra-State: CGST + SGST/UTGST			
	-> Inter-State/import: IGST			
	-> Destination assignment through settlement			
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5/12 INPUT CREDIT

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-> Output tax - eligible input tax = net payment	
-> Blocked/exempt-use credit can become cost	
-> Zero-rated retains credit route	
-> Exempt/nil/non-GST are distinct	
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6/12 PERIMETER

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-> Subsumed: service tax, VAT and named covered levies	
-> Outside: alcohol for human consumption	
-> Petroleum basket awaits Art 279A(5) date	
-> Customs/stamp/electricity/property levies survive	
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7/12 COUNCIL AND COURT

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-> Centre weight 1/3; States together 2/3	
-> Decision threshold: 3/4 weighted votes	
-> Mohit Minerals, 19 May 2022	
-> Recommendations persuasive, enacted law binding	
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8/12 CURRENT GST

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-> Most rate changes: 22 Sep 2025	
-> Broad: 5 merit 18 standard 40 special	
-> Compensation cess specified entries nil: 1 Feb 2026	
-> Always check item notification	
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9/12 COMPLIANCE

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-> Registration threshold != composition threshold	
-> Invoice-return-credit data chain	
-> Inversion -> credit accumulation/refund issue	
-> Fake invoice -> wrongful ITC network risk	
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10/12 DIRECT TAX

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10/12 DIRECT TAX	
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-> Income-tax Act 2025 + Rules 2026	
-> Commenced 1 Apr 2026	
-> Personal company capital gains	
-> TDS/TCS = collection + information + credit	
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11/12 FINANCE COMMISSION

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-> Arts 280-281	
-> Vertical: Union versus States	
-> Horizontal: among States	
-> Art 275 grants; Art 282 public-purpose grants	
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12/12 XVI-FC 2026-31

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12/12 XVI-FC 2026-31	
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-> Vertical accepted: 41% of divisible-pool net proceeds	
-> Weights: 42.5 income distance; 17.5 population	
-> 10 each: demography, area, forest, GDP contribution	
-> Council != Commission != Budget	
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